Microsoft (MSFT) | Earnings Brief

1Q FY27 (calendar 3Q26, quarter ended 30 September 2026) | 29 October 2026 | Josh (Q&A: Trevor)

1 Executive snapshot

Post-call version - transcript read (two independent summaries of the 28 October call)

Consensus thesis. Investors own Microsoft as the capacity-constrained AI cloud whose 45%-plus Azure growth and $678bn commercial RPO justify capex above $50bn a quarter, funded from its own cash flow by a AAA balance sheet.

Thesis status: Intact. Two pillars confirmed (Azure, margins), two challenged (self-funding, backlog), one mixed (third-party capacity). None broken.

Versus expectations. Quarter: beat (revenue $92.3bn vs $90.72bn consensus, +1.7%; non-GAAP EPS $4.89 vs $4.72, +3.6%; Azure +48% vs a 44-45% guide). Outlook: above (2Q FY27 revenue guide $96.0-97.1bn vs about $95.6bn; Azure 49-50% cc vs about 47.6% expected).

Biggest changes

• Azure accelerated to 48% ($33.2bn, +$3.7bn QoQ) and is guided to 49-50% in 2Q, above the 46-47% buy-side bar, while management still says demand exceeds supply.

• Capex including finance leases was $45.2bn, about 11% below StreetAccount's $50.7bn and Microsoft's own 'over $50bn', because third-party (neocloud) capacity deliveries slipped. CY26 capex view cut to about $170bn from about $175bn.

• Microsoft is now a borrower: hours after Hood said debt markets were available but not yet tapped, it launched a 10-tranche, at-least-$25bn bond sale (first US high-grade deal since 2017), talked at T+50-55bp (2-year) to T+130-135bp (40-year).

• Backlog stalled: commercial RPO $677bn vs $678bn at 30 June; growth slowed to 73% from 84%; commercial bookings fell 12% (single source). OpenAI revenue was $10.0bn in the quarter (10.8% of revenue vs 7.3% in FY26).

• Leases not yet commenced rose $35.5bn in one quarter to $364.6bn (now FY27-FY34), and operating-lease additions jumped to $6.5bn from $1.4bn a year earlier, confirming the shift of future data center leases off reported capex.

Investor takeaway. The consensus view should hold and tilt up on Azure, but drop the 'self-funded' assumption: Microsoft is still compounding, yet its AI build is now financed with bonds and $364.6bn of uncommenced leases as well as cash, so credit quality stays very high but no longer improves.

What to monitor next quarter

• 2Q FY27 capex 'over $50bn' and whether delayed third-party capacity actually lands in 2H; any change to the CY26 $170bn view.

• Final size and pricing of the bond deal (settles 4 November) and whether Microsoft becomes a regular issuer like Alphabet (twice a year).

• Commercial RPO and bookings: does RPO resume growth from $677bn, and does OpenAI's share of revenue (10.8%) keep rising?

Pillar scorecard

Pillar	Assumed	Showed	Verdict	Source
P1 Azure acceleration	Azure beats 44-45% guide; buy side wants 46-47%	48% ($33.2bn); 2Q guide 49-50% cc; still supply-limited	Confirmed	Release; call
P2 Capex up, FCF positive, self-funded	Capex >$50bn/qtr, FCF positive without leverage	Capex $45.2bn (below plan); FCF $18.6bn; $25bn+ bond launched 29 Oct	Challenged	Release; 424B2; call
P3 Backlog quality	RPO >= $678bn; ex-OpenAI growth >= 25%	RPO $677bn (flat QoQ), +73% y/y; bookings -12%; OpenAI 10.8% of revenue; ex-OpenAI RPO not disclosed	Challenged	10-Q; call
P4 Margins absorb depreciation	Operating margin about 48.5%	49.8% (48.9% a year ago); 2Q guide 'down slightly' y/y	Confirmed	Release; call
P5 All capacity is used	Owned, leased and neocloud capacity all fill	Demand > supply confirmed; but third-party deliveries slipped and Microsoft simply spent less	Confirmed (third-party leg challenged)	Call

Key KPIs

Metric	1Q FY27	4Q FY26	1Q FY26	QoQ / YoY	Trend
Revenue ($mn)	92,279	90,007	77,673	+2.5% / +18.8% [↑]	Accelerating
Azure revenue ($mn)	33,165	29,417	22,384	+12.7% / +48.2% [↑]	Accelerating
Azure growth y/y	48%	42% (restated)	40% (restated)	+6pp [↑]	Accelerating
Operating margin	49.8%	45.1%	48.9%	+4.7pp / +0.9pp [↑]	Stable
Non-GAAP diluted EPS	$4.89	$4.74	$4.13	+3.2% / +18.4% [↑]	Up
Capex incl. finance leases ($bn)	45.2	about 41.4	n.a.	+9% [?]	Below plan
Free cash flow ($mn, OCF - PP&E)	18,633	19,639	25,663	-5.1% / -27.4% [↓]	Falling
Commercial RPO ($bn)	677	678	about 391	-0.1% / +73% [~]	Stalled QoQ
OpenAI revenue ($bn)	10.0	n.a.	n.a.	10.8% of revenue [?]	Rising share
Leases not yet commenced ($bn)	364.6	329.1	n.a.	+10.8% [↓]	Rising

Guidance

Metric	2Q FY27 guidance	vs prior	vs consensus
Revenue	$96.0-97.1bn (+18-19%)	New	Above (~$95.6bn)
Azure growth (cc)	49-50%	Up from 44-45% guide (48% actual)	Above (~47.6%)
Agents and Infra revenue	$80.1-80.7bn (+24-25%)	New	n.a.
Operating margin	Down slightly y/y (implied ~46.8%)	1Q was +0.9pp y/y	n.a.
Capex incl. finance leases	2Q over $50bn; CY26 about $170bn; 2H acceleration	CY26 cut from ~$175bn	1Q missed $50.7bn

Top 3 risks

• **Funding and leverage:** $25bn+ bond; net cash $29.0bn. Regular issuance would widen AI-linked IG spreads.
• **Third-party delivery:** Delays cut 1Q capex ~$5bn. Neocloud revenue timing at risk; Microsoft protected.
• **Lab concentration (OpenAI):** 10.8%; receivable $7.2bn. Backlog quality tied to one related party.
Analyst focus (Trevor): capacity, model mix, Copilot and one funding question (Liani, BofA), answered partially hours before the bond launch; nobody asked about the third-party slip, flat RPO or $364.6bn of uncommenced leases.

8 Monitoring and Kona (condensed)

Signals: (1) 2Q capex lands above $50bn with third-party capacity delivered. (2) Final bond size and spreads; any second deal within six months. (3) Commercial RPO grows again from $677bn. (4) OpenAI revenue share and receivable. (5) Leases not yet commenced (now $364.6bn) and operating-lease additions.
Tripwires. Azure below 46% in 2Q; RPO down two quarters in a row; a second large bond within two quarters without a matching rise in RPO; a rating outlook change.
Questions for owners
1. You said debt markets were available but 'not yet tapped' on 28 October and launched a $25bn+ deal on 29 October. Is this a one-off or the start of semi-annual issuance like Alphabet's? What leverage ceiling keeps you AAA? *(Credit. Sets the end of self-funded AI capex. Asked (Liani); answered partially before the deal.)*
2. Leases not yet commenced rose $35.5bn to $364.6bn in one quarter. How much is conditional on power or construction milestones, and how much is operating rather than finance? Will you report capex plus new lease commitments each quarter? *(Credit. Debt-like obligations now 5.1x finance lease liabilities. Not asked.)*
3. Third-party deliveries slipped enough to cut 1Q capex by about $5bn versus your plan. Which providers, how many MW, and do your contracts give you termination or step-in rights if 2H deliveries also slip? *(Credit for neocloud lenders. Not asked.)*
Read-across for Kona. Microsoft just showed who carries delivery risk: when third-party capacity slipped, it simply spent about $5bn less and kept growing Azure, while CoreWeave, Nebius and IREN fell 5-6% after hours. Kona should expect any hyperscaler-grade tenancy to pay only from delivery and to price its own schedule risk, so on-time power at Vaca Muerta is the product, and Kona should prefer selling power or hosting a GPU owner over owning GPUs against a delivery-gated contract. Microsoft also prefers leasing ($35.5bn of new uncommenced leases this quarter) and can borrow at AAA spreads, so a powered, lease-ready shell is easier to sell to it than GPU-as-a-service.